as using gold as a default asset for savings is deeply ingrained in the Indian psyche.

The good news is that there has been a shift in the mindset of millennials and Generation Z, who do not share the fascination of their elders for gold. They find gold jewellery an unnecessary accessory and managing gold as a commodity inconvenient. Gold as an asset class would appeal to them much more. The beginning of the end of physical gold as a default asset can be made with this new generation of Indians.

Steps Taken to Promote Gold as a Financial Asset Class

The Government of India has taken several measures to develop gold as a financial asset. In 2015, the NDA government launched a number of schemes: the Gold Monetization Scheme (GMS), Sovereign Gold Bond Scheme (SGB) and India Gold Coin (IGC). These schemes did not succeed as expected but could still mobilize about 30 tonnes of gold in a three-year period. The SGB scheme made some impressive gains in 2020 when gold prices shot through the roof, with international gold prices crossing $2000 an ounce in August 2020. Though it appears counterintuitive, evidence suggests that SGB schemes attract more investment when gold prices are high and rising and less investment when they are low and falling.

A Comprehensive Bouquet of Gold-Based Financial Assets

The simplest and most effective strategy for drawing out gold from household almirahs, lockers and temple vaults is to provide all financial investment products with gold as an underlying asset/currency and design returns that partly share the profits the financial resources generate by unleashing gold.

The first such class of financial assets is banking products. Banks provide savings accounts and fixed deposits as investment options for